

at some point in time I made it a policy to interview every person hired that was not a tradesperson. If they did not meet my culture test, they were not hired. By the time I was running the company I had been involved hiring most of the non-field personnel. One other thing I am proud of doing at Raymond, for numerous reasons, was a safety program. I did not know much about insurance other than it was something a company had to have. One day shortly after I started working at Raymond the insurance agent came to meet with Carl and Jim Pecora and they asked me to come meet the agent. The agent said he had renewed the insurance and needed a check for \$xxx,xxx. My jaw dropped, but I kept quiet. After the agent left, I asked how the process worked. For the dollars involved I thought we should have gotten competitive bids. From that day on I used a risk management consultant to renew insurance every year. Three brokers were chosen to give quotes. We chose the broker we thought would give us the most for our dollar throughout the policy period. That was not always the lowest quote at renewal time. Result: Better coverage, better service and lower cost. I did some research and found the workmen's compensation (WC) was the big dollar insurance. I found out WC premium was \$x per \$100 of payroll modified by an experience modification (Xmod) based on accident losses. Wow, this can be a forever growing cost as union wages went up, the company grew, and especially if you did not control accident losses. I told Carl and Jim I was going to start a safety program. They chuckled and said, "Go ahead but it won't work." I started holding safety meetings in Montebello in 1978 and led almost every safety meeting, even though I had to drive or fly to the remote offices to do so, until I retired in 2004. I ran the foreman safety meetings, then the foremen held a safety meeting at their job site. Because Raymond's projects were all over the greater LA basin, I had a young woman that kept track of insurance, safety, etc. set up foremen meeting places in different areas so the foremen did not have to always drive to our office. We had food and soft drinks, we always had a safety topic to talk about, and we acknowledged safety achievements with personal recognition and a small non-monetary gift, usually a personalized coffee cup. The greatest reward for me in this process was getting to know the foremen. Everyone in the company is important, but if you don't have foremen who can organize a crew to execute that set of plans within the "estimate" the office turned out, you are in trouble. These guys (not enough gals) were smart, creative, talented, great supervisors and managers. I have the greatest respect for them, and I really enjoyed being among them at these meetings and on the job sites. It was, and is, amazing what they can achieve. When I began the safety program Raymond's Xmod was say 1.15 for an example. That means if the WC rate was \$10 per \$100 of payroll, Raymond would have to pay \$11.50 because of accident losses. In a couple of years, I had Raymond's Xmod down to 0.39, or \$3.90 per \$100 of payroll. It was impossible to hold the Xmod that low, but the safety program made it possible to keep Raymond's Xmod below 1.00 most of the time after that. It was good for the men because there were fewer injuries. It was good for the company because it made Raymond more competitive, or more profitable, however you played the cost advantage. During my time at Raymond, the safety program saved several million dollars of insurance premiums. I suspect that is still the case.